10. TAXES ON EARNINGS

The provision for income taxes is comprised of:

| | YEARS ENDED OCTOBER 31, | | |
|---|---|---|---|
| | 2000 | 1999 | 1998 |
| | (IN MILLIONS) | | |
| U.S. federal taxes: | | | |
| Current | $121 | $ 92 | $161 |
| Deferred | (42) | (15) | (133) |
| Non-U.S. taxes: | | | |
| Current | 322 | 189 | 115 |
| Deferred | (18) | 3 | (8) |
| State taxes | 24 | 6 | 4 |
| | $407 | $275 | $139 |





The significant components of deferred tax assets, which required no valuation allowance, and deferred tax liabilities included on the consolidated balance sheet are:

| | OCTOBER 31, | | | |
|---|---|---|---|---|
| | 2000 | | 1999 | |
| | DEFERRED TAX ASSETS | DEFERRED TAX LIABILITIES | DEFERRED TAX ASSETS | DEFERRED TAX LIABILITIES |
| | (IN MILLIONS) | | | |
| Inventory | $157 | $ 7 | $134 | $ 4 |
| Property, plant and equipment | 71 | 5 | 34 | 7 |
| Warranty reserves | 34 | -- | 21 | -- |
| Retiree medical benefits | 70 | -- | 83 | -- |
| Other retirement benefits | 15 | 54 | -- | 70 |
| Employee benefits, other than retirement | 220 | 22 | 178 | 15 |
| Unremitted earnings of foreign subsidiaries | -- | 160 | -- | 119 |
| Other | 110 | 19 | 106 | 15 |
| | $677 | $267 | $556 | $230 |

The current portion of the net deferred tax asset is $304 million at October 31, 2000 and $232 million at October 31, 1999 and is included in other current assets.

Tax benefits of $16 million in 2000 associated with the exercise of stock options and other stock-based compensation was allocated to stockholders' equity and no provision benefit was recognized.

The differences between the U.S. federal statutory income tax rate and Agilent's effective tax rate are:

| | YEARS ENDED OCTOBER 31, | | |
|---|---|---|---|
| | 2000 | 1999 | 1998 |
| U.S. federal statutory income tax rate | 35.0% | 35.0% | 35.0% |
| State income taxes, net of federal benefit | 2.1 | 0.7 | 0.9 |
| Lower rates in other jurisdictions, net | (3.5) | (3.4) | (1.4) |
| Other, net | 1.4 | 2.7 | 0.5 |
| | 35.0% | 35.0% | 35.0% |

The domestic and foreign components of earnings before taxes are:

| | YEARS ENDED OCTOBER 31, | | |
|---|---|---|---|
| | 2000 | 1999 | 1998 |
| | (IN MILLIONS) | | |
| U.S. operations | $ 68 | $204 | $ 78 |
| Non-U.S. operations | 1,096 | 583 | 318 |
| | $1,164 | $787 | $396 |

As a result of certain employment and capital investment actions undertaken by Agilent, income from manufacturing activities in certain countries is subject to reduced tax rates, and in some cases is wholly exempt from taxes for years through 2007. The income tax benefits attributable to the tax status of these subsidiaries are estimated to be $41 million in 2000, $31 million in 1999 and $21 million in 1998.

Agilent has not provided for U.S. federal income and foreign withholding taxes on $761 million of cumulative undistributed earnings of non-U.S. subsidiaries as of October 31, 2000. Such earnings are intended



to be reinvested for an indefinite period of time. Where excess cash has accumulated in Agilent's non-U.S. subsidiaries and it is advantageous for tax or foreign exchange reasons, subsidiary earnings are remitted.

See Note 14, "Transactions with Hewlett-Packard," for a description of the tax sharing agreement between Agilent and Hewlett-Packard.

Tax Sharing Agreement. The tax sharing agreement provides for Hewlett-Packard's and Agilent's obligations concerning various tax liabilities. The tax sharing agreement provides that Hewlett-Packard generally will pay, and indemnify Agilent if necessary, for all federal, state, local and foreign taxes relating to Agilent's business for any taxable period ending prior to the separation date. In addition, the tax sharing agreement provides that Hewlett-Packard and Agilent make payments between them such that the amount of taxes to be paid by Hewlett-Packard and Agilent after the separation date will be determined, subject to specified adjustments, as if Hewlett-Packard and Agilent and each of their subsidiaries included in Hewlett-Packard's consolidated tax returns had filed their own consolidated, combined or unitary tax return for that period. For U.S. federal income tax purposes, such consolidated return period is November 1, 1999 through June 2, 2000.

The tax sharing agreement allocates responsibility for various taxes arising from restructurings related to the spinoff between Hewlett-Packard and Agilent. In addition, Agilent will bear 18% of unanticipated taxes related to the distribution where neither party is at fault.

The tax sharing agreement provides that Agilent will indemnify Hewlett-Packard for any taxes arising out of the failure of the distribution or certain of the transactions related to it to qualify as tax free as a result of actions taken, or the failure to take required actions, by Agilent. Specifically, Agilent is required under the tax sharing agreement to comply with

the representations made to the Internal Revenue Service (IRS) in connection with the private letter ruling that has been issued to Hewlett-Packard from the IRS regarding the tax-free nature of the distribution of Agilent's stock by Hewlett-Packard to Hewlett-Packard's stockholders.

The tax sharing agreement further provides for cooperation with respect to certain tax matters, the exchange of information and the retention of records which may affect the income tax liability of either party.